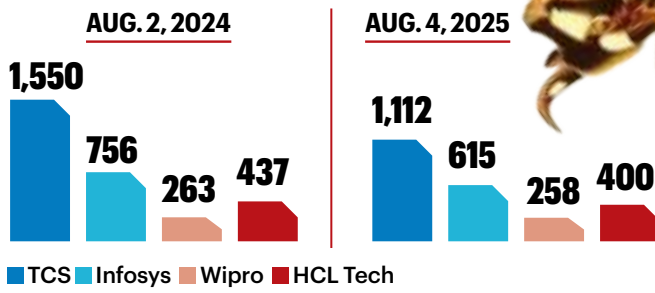
# AN ILL WIND

**Geopolitical instability and Trump's tariff-led disruptions have eroded valuations of the Big 4 in the past year**



**MARKET CAP** (Rs '000 crore)




*Source: Ace Equity*

# THE BRIGHT SPOT

**Why Global Capability Centres, or GCCs, the fully owned, offshore units that MNCs have set up in India to perform strategic, technical, and operational functions, are emerging as a bright spot in the Indian IT landscape**



- The number of GCCs in the country has increased from 1,285+ in FY19 to 1,750+ in FY25
- Growth is majorly driven by mid-market GCCs (500-1000 employees) established by parent organisations with annual revenues between $100 mn and $1 bn (Rs 875 cr.-Rs 8,750 cr.)
- AI is a key focus for 68 per cent of GCCs while 54 per cent specialise in engineering R&D
- Many GCCs are increasingly adopting the 'GCC as a Service' model, which means that organisations turn to third party expertise and platforms to set up and manage these centres, as against building them from scratch

*Source: NASSCOM Strategic Review 2025*

services sector," says Kris Gopalakrishnan, co-founder of Infosys and chairman of Axilor Ventures, a start-up accelerator.

Another major disruptor, and one being viewed with a lot of interest, is the rapid advancement of AI, particularly the deployment of Large Language Models (LLMs). Trained on vast datasets of text and code, these powerful AI systems can perform a wide range of natural language processing tasks, significantly boosting productivity for individuals and organisations alike. The pace of their evolution is dizzying; new versions are improving every three to four months. Meanwhile, firms are also hitting the pause button on entry-level recruiting till they figure out the best way to envisage their organisational restructure. "Earlier, IT firms had a pyramid structure; the new structure will probably be narrow at the top, and cylindrical at the middle and the bottom," he adds.

TCS, whose layoffs created a stir, admitted it was already on the cusp of that change. The company denied the layoffs were because AI had taken over jobs, attributing them instead to skills mismatch and lack of redeployment opportunities for mid- and senior-level employees. Its CEO K. Kirthivasan said that the company is in the midst of a structural shift, moving away from the traditional 'waterfall' project management method—a linear, sequential approach—to a more agile, product-centric model, thereby reducing the need for conventional project and programme managers. "In the earlier waterfall models, we had multiple leadership layers. That's changing," he said in a media interview.

"There's a shift from volume to value, from a headcount-based approach to an outcome-based approach in companies," says IT industry veteran C.P. Gurnani, co-founder and vice chairman, AIonOS, an AI enabling platform for businesses. "What we are seeing fundamentally is that you need to participate in the business not just as a routine coder, but by understanding it, making an impact in the ways businesses are conducted. It also means that skill development is no longer about coding skills, about learning (programming languages) Python or C++ , but about agility, about domain, about industrial use cases."

## Who's Afraid of AI?

"Everybody's job is in danger. It's how you adapt to it," is how a fortysomething techie working in a GCC in Bengaluru frames the pace of technological change that's upending not just his own industry but practically every business. When he joined, developers wrote software code from scratch, using online platforms such as Stack Overflow where programmers collaborated and shared knowledge that aided their coding tasks. But LLMs, powered by natural language interfaces, changed that fundamental approach. Now, developers can just 'prompt' a machine in conversational English and get a code they can copy-paste. "It's made life comfortable in that you don't have to code from scratch, you already have the boilerplate custom-made for you," he explains. One can even connect an existing code base and ask the AI application to crawl through it and flag issues, a job that would consume a significant amount of time for a developer. "But with the good comes the bad, right? Now, obviously, expectations have